Foreign Power Company of $270,000,000 of Second Preferred stock carrying warrants for no less than 7,100,000 shares of common.

B. As Compensation to Underwriters. The first important case seems to have been the $25,000,000 Barnsdall Corporation 6% bond issue of 1926. Here the bankers received, as part of their compensation, warrants for 500,000 shares of common. At the subsequent high price these warrants would have been worth $13,000,000. National Fund, Inc., an openend investment trust, issued warrants to the sponsors in 1936 in lieu of the customary loading charge. Many flotations of smaller companies now include large amounts of warrants in addition to cash compensation for bankers. Examples: Aeronautical Corporation of America (1939); Triumph Explosives, Inc. (1939); Howard Aircraft Corporation (1939).

C. As Compensation to Promoters and Management. A striking case was the formation of Petroleum Corporation of America in January 1929. The public was offered 3,250,000 shares of stock at $34 per share. Fiveyear warrants to buy 1,625,000 shares at 34 were issued to the promoters and management.

D. Issued in a Merger or Reorganization Plan, in Exchange for Other Securities. Commonwealth and Southern Corporation issued about 17,500,000 warrants, together with 34,000,000 shares of common and 1,500,000 shares of preferred, mainly in exchange for securities of six constituent companies. It is interesting to note that it issued *common stock* and warrants in exchange for Penn-Ohio Edison Company and Southeastern Power and Light Company option warrants.

In the 1937 reorganization of Baldwin Locomotive Works the old preferred and common were both exchanged for new common and warrants. In the Colorado Fuel and Iron reorganization of 1936 only warrants were given for the old preferred and common. The reorganization plan for Erie Railroad, presented in 1938 in behalf of insurance companies holding bonds, was unique in that it gave old stockholders warrants to buy new common from the old creditors instead of from the company.

E. Attached to an Original Issue of Common Stock. Public Utility Holding Corporation of America sold 2,500,000 shares of common stock, carrying warrants to buy an equal number of shares of additional common. In addition, the organizing interests purchased 500,000 shares of Class A stock (with voting control) together with warrants to buy 1,000,000 shares of either Class *A* or common stock.